ALL INDIA DISCOMs ASSOCIATION (AIDA)

Minutes of 1st Meeting of Committee on Policy Related Matters

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At the outset, Shri Satyendra Nath Kalita, Director (Regulatory Affairs) of AIDA welcomed the members of the newly formed AIDA Committee on Policy Related Matters. He highlighted the committee's role in policy advocacy and the necessity for thorough analysis of various issues before finalizing AIDA’s responses. The agenda of this first committee meeting includes four key topics for discussion.

During the meeting, the following issues were discussed with the respective Members of Discoms:

1. Discussion on FPPA Charge and Regulatory Gaps

Shri Vijay Singh (Tata Steel UISL), discussed the implications of the FPPA charge formula, highlighting that negative FPPAs are being returned to consumers, despite the Discom having a pre-existing regulatory gap. He noted that earlier, negative FPPA was not refunded as it helped bridge the revenue gap. However, the new formula mandates adjustment for both increases and decrease in power purchase cost.

Shri Alok Kumar, DG, AIDA suggested to share details of the earlier dispensation under which negative FPPA was not returned, whether it was based on a SERC order or regulatory provision.

Shri V. Singh, Tata Steel UISL, is requested to submit relevant SERC orders or regulations related to the non-return of negative FPPA.

2. Treatment of Delay Payment Surcharge (DPS)

Shri Vijay Singh (Tata Steel UISL), raised concern over DPS being treated as non-tariff income in ARR as per JSERC, despite the licensee bearing the funding cost during delayed payments by consumers. He referred to an APTEL judgment (2011) which permitted recovery of funding cost of DPS, noting that State Commissions are currently taking divergent views due to lack of regulatory clarity. He suggested that either the funding cost of DPS be allowed as an expense or DPS should not be treated as income.

Ms. Ritu Gupta (TPDDL), clarified that normative working capital is already allowed to Discoms as per regulations, and any funding cost of DPS, if considered, should be limited to the working capital rate, not at higher carrying cost rates. Also, the net LPSC (after deducting funding cost) is treated as non-tariff income and reduces the ARR, thereby not increasing consumer burden.

Shri Paresh Bhagwat, ED, MSEDCL, noted that there are several aspects to be examined, particularly whether the Delayed Payment Surcharges (DPS) should be treated as tariff or non-tariff income, which has implications on ARR and consumer tariff. While the current treatment may be appropriate, future scenarios could differ.

DG, AIDA agreed that this is a practical solution and noted it should be standardized across SERCs and assured that the matter would be taken up with the Forum of Regulators to ensure uniform treatment.

Shri Vijay Singh, Tata Steel UISL, is requested to submit relevant APTEL orders or regulations related to the delay payment surcharge.

Ms. Ritu Gupta, TPPDL is also requested to share information regarding allowance of carrying costs for delay payment surcharges.

3. Discussion on Supreme Court Ruling on Completion Certificates in Uttar Pradesh Impacting Utility Connections.

DG, AIDA shared a Supreme Court directive in a UP-Housing Board case mandating completion certificates for electricity connections, which contradicts the Consumer Rights Rules notified by the Ministry of Power requiring only two documents. He cautioned that enforcing this could lead to illegal connections and hinder ease of living.

Shri Vijay Singh (Tata Steel UISL) raised concerns over Jamshedpur Notified Area Committee (JNAC) directive to deny electricity connections without Occupancy Certificates (OCs), despite very few occupation certificates have been issued. Though earlier such restrictions were revoked, the issue has resurfaced due to unchecked unauthorized constructions. He highlighted public dissatisfaction as other civic services are allowed at the same address and requested a clear, practical resolution in line with the Electricity Act.

Shri Paresh Bhagwat, ED, MSEDCL noted that this is a common issue across Discoms, balancing the constitutional right to electricity with safety and regulatory concerns. Unplanned constructions without Occupancy Certificates pose legal, technical, and socio-political challenges. He further added that in situations where there is extreme pressure or illegal developments, they manage risks by taking affidavits from consumers. For example, in cases like hawkers on footpaths requesting supply, they take higher security deposits and provide temporary connections to such setups.

DG, AIDA responded that in absence of Occupancy Certificates, a practical approach could be to allow temporary connections based on affidavits and higher deposits, with a clear condition to submit the certificate within a year or face disconnection.

PGVCL submitted that as per the Supply Code and Ease of Doing Business guidelines, only ownership and ID proof are required for a new connection. However, during incidents like fires, local authorities demand additional documents and harass field engineers. Hence, it should be clearly defined in the Electricity Act that only basic documents are needed, to protect Discom staff from legal or administrative pressure.

4. Discussion on Renewable Consumption Obligations and Challenges Faced by Discoms

DG, AIDA noted that inputs are needed on the issues and challenges faced by Discoms in meeting Renewable Consumption Obligations (RCO). Reports have been sought from Member Discoms, so a consolidated response can be submitted to the Ministry of Power requesting reconsideration of penalties.

Ms. Ritu Gupta, TPDDL, highlighted that in Delhi, RPO is calculated on billed units, while RCO uses input energy, causing compliance mismatches. Regulators may not allow REC purchases made for RCO, and penalties won't be pass-through, impacting Discoms bottom line. She also pointed out that DRE targets are unrealistic for metro cities like Delhi due to limited rooftop potential, and suggested allowing flexibility to meet DRE obligations through other renewable sources.

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